

Table 27.4 Breakout and Post-Breakout Statistics

Description	Bull Market
Breakout direction	100% up
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 38%, M 42%, H 47%
Throwbacks occurrence	67%
Average time to throwback peaks	7% in 6 days
Average time to throwback ends	12 days
Average rise for patterns with throwbacks	39%
Average rise for patterns without throwbacks	52%
Percentage price resumes trend	69%
Performance with breakout day gap	45%
Performance without breakout day gap	42%
Average gap size	\$0.45

Throwbacks. The next several rows in [Table 27.4](#) concern throwbacks. In two out of three samples, the stock throws back to the confirmation price. Price rises 7% in just 6 days before reversing. The round-trip takes an average of 12 days.

The penalty a double bottom pays if it has a throwback is big: 17 percentage points. Thus, try to select patterns without nearby overhead resistance that might force the stock back down and cause a throwback.

After a throwback completes, the stock resumes rising (69% of the time, anyway). That's good news. All you have to do is be patient and wait for the stock to recover after a throwback.

Gaps. Breakout day gaps hurt performance, which I find odd. I've seen this in a few other chart patterns, too. Breakout day gaps usually help performance, not hurt it.

[Table 27.5](#) shows pattern size statistics.

Height. Tall patterns outperform short ones, and I find height as one of the premier markers of future performance. To use this finding, compute the